

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 19, Honorable Theodore C. Zayner Presiding

Maggie Castellon, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: 408.882.2310

To contest the ruling, call (408) 808-6856 before 4:00 P.M. or email department19@scscourt.org. Please state your case name, case number, the name of the attorney and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested. Please also make sure you have notified the other side in a timely fashion that you are contesting the tentative ruling. (See R. Ct. 3.1308(a)(1); Local Rule 8.E.)

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LAW AND MOTION TENTATIVE RULINGS

DATE: JULY 31, 2024

TIME: 1:30 P.M.

PREVAILING PARTY SHALL PREPARE THE ORDER

UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))

LINE #	CASE #	CASE TITLE	RULING
LINE 1	23CV421827	Vargas Rivera v. Flagship Facility Services, Inc., et al. (Class Action)	See Line 1 for tentative ruling.
LINE 2	23CV425996	Vargas Rivera v. Flagship Facility Services, Inc., et al. (PAGA)	See Line 1 for tentative ruling.
LINE 3	23CV415981	Kobayashi v. Dfinity USA Research LLC, et al.	See Line 3 for tentative ruling.
LINE 4	23CV415981	Kobayashi v. Dfinity USA Research LLC, et al.	See Line 3 for tentative ruling.
LINE 5	21CV392334	Balabanoff v. Classic Vacations, LLC, et al. (Class Action/PAGA)	See Line 5 for tentative ruling.
LINE 6	22CV392905	Cervantez v. Garden City, Inc.	See Line 6 for tentative ruling.
LINE 7			
LINE 8			
LINE 9			

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LAW AND MOTION TENTATIVE RULINGS

LINE 10			
LINE 11			
LINE 12			
LINE 13			

Calendar Lines 1 – 2

Case Name: Vargas Rivera v. Flagship Facility Services, Inc., et al. (Class Action)
Case No.: 23CV421827

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on July 31, 2024, at 1:30 p.m. in Department 19. The court now issues its tentative ruling which is the court's proposed statement of decision, subject to objection and argument, if any, at the scheduled hearing.

I. INTRODUCTION

On August 28, 2023, Plaintiff Ma Azucena Vargas Rivera ("Plaintiff") her complaint in docket 23CV421827 as a putative wage and hour class action. The still-operative complaint alleges causes of action for: (1) failure to pay overtime wages, (2) failure to pay minimum wages, (3) meal period violations, (4) rest period violations, (5) waiting time penalties, (6) wage statement violations, (7) failure to pay timely wages, (8) failure to indemnify, (9) failure to pay interest on deposits, (10) violation of Labor Code section 227.3, and (11) unfair competition.

On November 13, 2023, Plaintiff filed the operative complaint in docket 23CV425996, alleging a single cause of action for penalties under the Private Attorney General Act ("PAGA").

Defendants Flagship Services, Inc.; Flagship Enterprises Holding, Inc.; Flagship Sweeping Services, Inc., and Flagship Airport Services, Inc. (collectively, "Defendants") are named in both actions.

Defendants filed separate motions to compel arbitration in each action, Plaintiff filed a single consolidated opposition, and Defendants filed replies.

II. EVIDENTIARY OBJECTIONS

A. Plaintiff's Evidentiary Objections

Plaintiff objects to several portions of the Declaration of Ralph Terrones in Support of the Motion. She contends that the entire declaration is inadmissible hearsay because it was not made under penalty of perjury. The court overrules this motion as Defendants' have provided an updated declaration, which is made under penalty of perjury.

Plaintiff also objects to paragraphs 8 and 9 of the declaration on the grounds of lack of personal knowledge and foundation and hearsay. Plaintiff does not explain the basis for the hearsay objection. To the extent it is based on the fact that the declaration was not signed under penalty of perjury, it is overruled. With respect to the lack of personal knowledge and foundation objections, it is necessary to review the content of the targeted paragraphs. Paragraph 8, generally indicates that new hires are provided with physical copies of the dispute resolution agreement ("arbitration agreement" or "agreement") Defendants contend Plaintiff signed in this case, staff discuss the agreement with the new employee, and then the employee is given time to review the agreement and ask any questions. It also states that Terrones located a copy of the agreement purporting to bear Plaintiff's signature. The objections are not well taken as to this content as Terrones has declared that he is the director of human resources and that he has access to the Defendants' files. However, to the extent the paragraph indicates that Plaintiff herself was given a copy of the agreement and that the signature on the document is Plaintiff's, Terrones has not stated any facts indicating personal knowledge of those facts. Terrones does not state that he provided the agreement to Plaintiff nor does he indicate he was present when it was presented. He does not indicate that he witnessed Plaintiff sign the agreement. While Terrones can testify to the general practice of the company, he has not shown that he has personal knowledge of the facts surrounding Plaintiff's alleged signing of the agreement.

With respect to paragraph 9, the entirety of that paragraph states, “The personnel file that

Flagship maintains in the regular course of business for Plaintiff contains an Arbitration Agreement signed by Plaintiff. A true and correct copy of the Arbitration Agreement signed by Plaintiff on December 28, 2018, and which is contained in Plaintiffs personnel file, is attached hereto as Exhibit A.” Again, only portions of this paragraph are objectionable. Terrones has not provided a basis for his statement that the agreement was signed by Plaintiff.

Accordingly, although the court overrules the objections as to the entirety of paragraphs 8 and 9, it is cognizant of the limitations of Terrones’s declaration in this regard.

B. Defendants’ Evidentiary Objections

Defendants also object to portions of Plaintiff’s declaration in support of the opposition. On lack of personal knowledge and lack of foundation grounds, Defendants object to portions of paragraph 4 of Plaintiff’s declaration indicating that she was directed to sign tax documents at her onboarding and that she was not given a copy of those documents nor permitted to take them home before signing. Defendants’ objections make little sense. Plaintiff herself was present at the time these events occurred and witnessed them. Thus, she has personal knowledge of them. Defendants fail to explain how these statements are lacking in foundation. Accordingly, these objections are overruled. Defendants also object, on the same grounds, to paragraph 5, which states that a Spanish interpreter interpreted the content of some additional onboarding documents and that she was not provided with those documents and she does not remember signing them. Again, Plaintiff was necessarily present when these actions occurred. Accordingly, these objections are not well taken and are overruled. Defendants object on the same ground to portions of paragraph 6 that indicate that Plaintiff “do[es] not believe the signature on Defendants’ proffered copy of the arbitration agreement is hers and that she was not given a copy of the arbitration agreement at her onboarding. Plaintiff would have personal knowledge of whether she was given something and she is qualified to opine on whether the

signature on the agreement is her own signature. These objections are overruled. Defendants further object on the grounds and on the ground of speculation, to a portion of paragraph 7 that states that Plaintiff would not have signed the agreement if she had known what it was. This objection is overruled. Finally, Defendants object to the same portions of paragraph 4 and 5, the portion of paragraph 6 indicating that Plaintiff was not given a copy of the agreement at her onboarding, and a portion of paragraph 7 indicating that Plaintiff is currently unable to understand the agreement unless it was translated into Spanish on the ground of relevance. The relevance objections are overruled.

III. DISCUSSION

A. Legal Standard

Defendants contend, and Plaintiff does not dispute, that the Federal Arbitration Act (“FAA”) applies in this case.

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19 (*Fleming*), internal quotation marks omitted.)

“As the United States Supreme Court observed two decades ago: ‘Because the FAA is “at bottom a policy guaranteeing the enforcement of private contractual arrangements,”

[citation] we look first to whether the parties agreed to arbitrate a dispute, not to general policy goals, to determine the scope of the agreement.’ (*EEOC v. Waffle House, Inc.* (2002) 534 U.S. 279, 294 [.]’ ‘For arbitration is a matter of contract and a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.’ (*United Steelworkers of America v. Warrior & Gulf Navigation Co.* (1960) 363 U.S. 574, 582.)” (*Fleming, supra*, 88 Cal.App.5th at pp. 19-20.) “The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 (*Pinnacle*).) “If no agreement to arbitrate was formed, then there is no basis upon which to compel arbitration.” (*Ahlstrom v. DHI Mortgage Co., L.P.* (9th Cir. 2021) 21 F.4th 631, 635.)

“In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (*Pinnacle, supra*, 55 Cal.4th at p. 236.) “The procedural aspects of the FAA do not apply in state court absent an express provision in the arbitration agreement. [Citations.]” (*Avila v. Southern California Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 840 (*Avila*), fn. omitted.)

B. Analysis

i. Existence of an Agreement

Defendants assert that Plaintiff signed an arbitration agreement as part of her onboarding when she was hired. They provide the declaration of Ralph Terrones, Senior Director of Human Resources Operations of Flagship Facility Services. The purported agreement is attached. Terrones asserts that new hires, including Plaintiff are presented with the arbitration agreement during the onboarding process. (Declaration of Ralph Terrones in Support of Defendants’ Motion to Compel Arbitration, to Dismiss Class Claims, and to Stay

Proceedings (“Terrones Decl.”), ¶ 8.) A copy of the purported arbitration agreement is attached to the declaration as Exhibit A. Terrones further declares that in 2018, when Plaintiff was hired, Flagship Facility Services allowed employees to opt out of the arbitration agreement but Terrones’s review of personal records did not reveal any request on Plaintiff’s part to opt out.

Plaintiff argues that Defendants have failed to show the existence of an agreement because Terrones’s declaration was not made under penalty of perjury and, therefore, it amounts to inadmissible hearsay. Under Code of Civil Procedure section 2015.5, a declaration is required to be signed under penalty of perjury. Recognizing this error, on February 13, 2024, after Plaintiff filed her opposition, Defendants filed a notice of errata with an amended Terrones declaration signed under penalty of perjury. Plaintiff has not filed anything challenging the notice of errata. Defendants contend that the court may properly consider the Terrones declaration because case law allows for the filing of a supplemental declaration to authenticate a signature in connection with a motion to compel arbitration after the authenticity of the signature is challenged in the opposition to the motion. (See *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) They also assert that the court can find the lack of the “under penalty of perjury” language harmless. (*Gall v. Smith & Nephew, Inc.* (2021) 71 Cal.App.5th 117, 125 [trial court did not err in considering declaration where penalty of perjury statement did not indicate it was made under the laws of the state of California and error was cured before the hearing]; *Hearn v. Howard* (2009) 177 Cal.App.4th 1193, 1204 [technical error in making declaration under penalty of perjury under the laws of the state of Arizona rather than California held harmless].) Although none of these cases involve a declaration not made under penalty of perjury at all, the court will consider the Terrones declaration.

Plaintiff also contends that the Terrones Declaration is inadmissible due to lack of personal knowledge as to the facts stated therein. However, the argument is limited to the authenticity of Plaintiff’s signature on the arbitration agreement. The court finds the Terrones Declaration admissible. As Defendants point out, Terrones declares that he is a human

resources director with access to personnel files and how they are stored. (Terrones Decl., ¶¶ 1, 6.) Thus, he was able to authenticate the arbitration agreement as a business record of the company. Although paragraph 8 of the declaration indicates that the agreement bears Plaintiff's signature, this is but one of many facts stated in the declaration and, therefore, the entire declaration is not made inadmissible by the fact that Terrones does not state any facts indicating that he is able to authenticate the signature.

Plaintiff maintains that she did not enter into the agreement at issue. First, she asserts that she does not believe that the signature on the arbitration agreement is hers. (See Declaration of Ma Azucena Vargas Rivera in Support of Plaintiff's Consolidated Opposition to Defendants' Motion to Compel Arbitration (English Translation) ("Rivera Decl."), ¶ 6.) She also contends that the first time she received a copy of the arbitration agreement was on February 6, 2024, during the course of this litigation. (Rivera Decl., ¶ 6.) Defendants argue that Plaintiff's declaration is self-serving and they object to it on various grounds. The court has overruled Defendants' objections and, although the court recognizes that the declaration may be somewhat self-serving, it is the only direct evidence on this point.

Defendants rely on *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747 (*Iyere*) for the proposition that Plaintiff's declaration is insufficient to shift the burden to Defendants to authenticate her signature on the arbitration agreement. There, the Court of Appeal explained,

The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. [Citations.] A movant can bear this initial burden 'by attaching a copy of the arbitration agreement purportedly bearing the opposing party's signature.' [Citation.] At this step, a movant need not 'follow the normal procedures of document authentication' and need only 'allege the existence of an agreement and support the allegation as provided in [Cal. Rules of Court,] rule [3.1330].' [Citation.][¶] If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement's existence—in this instance, by disputing the authenticity of their signatures. To bear this burden, the

arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signatures. The opponent need not prove that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature. [Citation.]

(*Iyere, supra*, 87 Cal.App.5th at p. 755.) The *Iyere* court explained that where “no plaintiff declared that he had not signed the agreement, or that his physical signature was forged or inauthentic” there was no factual dispute as to the authenticity of the signature. There, “each plaintiff declared that on his first day of work he was given a stack of documents, was told ‘to quickly sign the documents so I could get to work,’ and ‘signed the stack of documents immediately and returned them’ []. Each added, ‘I do not recall ever reading or signing any document entitled Binding Arbitration Agreement I do not know how my signature was placed on [the document].’ Each plaintiff stated further that if he had understood that the agreement waived his right to sue [the defendant], he would not have signed it.” (*Id.* at p. 756.) The plaintiffs did not deny the stack contained the arbitration agreement. (*Ibid.*) This evidence was insufficient to shift the burden to the defendant to authenticate the signature.

Here, Defendants have provided the arbitration agreement purporting to bear Plaintiff’s signature. Plaintiff contends that a Spanish interpreter explained the content of a stack of documents she does not recall signing. (Rivera Decl., ¶ 5.) Notably, she admits that the onboarding process, when Defendants contend the document was signed, occurred at the end of 2018, years before she signed her declaration in February 2024. (*Id.*, ¶ 4; see *Iyere, supra*, 87 Cal.App.5th at p. 756 [“there is no conflict between their having signed a document on which their handwritten signature appears and, two years later, being unable to recall doing so”]; but see *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 168 [declaration that plaintiff did not recall signing the document was sufficient to shift the burden to defendant to rebut that evidence].) She contends she has reviewed the signature on the arbitration agreement and “do[es] not believe” it is hers. (*Id.*, ¶ 6.) Specifically, she states, “Although the signature on page four bears a slight resemblance to my signature, I do not believe it is my signature.”

(*Ibid.*) She does not explain in what ways the signature differs from her own or why she does not believe it is her signature and thus, her statement that she does not believe the signature is hers is conclusory. Further, pursuant to Evidence Code section 1417,¹ the court has compared the known signature on Plaintiff's declaration and the signature on the arbitration agreement and they appear very similar such that the court believes the signatures were made by the same person. Accordingly, Plaintiff's conclusory statement that she "do[es] not believe" the signature on the arbitration agreement belongs to her in combination with the fact that Plaintiff does not unequivocally state that she did not sign the documents in the stack of onboarding documents and that the stack did not include the arbitration agreement, the court finds that the burden does not shift to Defendants.

Plaintiff further asserts that she speaks only Spanish and that she would not have been able to understand the arbitration agreement if it had been presented to her for signature. Thus, she contends that there was no mutual agreement because the terms of the arbitration agreement were never communicated to her. Plaintiff declares, "I am a Spanish speaker and while employed at Flagship I spoke only Spanish. I have very little ability to read, write, speak, or understand English with the exception of a handful of words." (Rivera Decl., ¶ 3.) She also asserts that a Spanish interpreter orally explained to her the content of some "tax documents" and some additional documents "relating to employment rules such as harassment and discipline" which she does not remember the contents of. (Rivera Decl., ¶¶ 4-5.) She has no recollection of signing any documents other than the tax documents. (Rivera Decl., ¶ 5.) She also states,

At no point during the onboarding process was I provided an explanation as to what arbitration is. At no point during the onboarding process was I informed that I was signing or agreeing to an arbitration agreement. At no point during the onboarding process was I informed that I was signing or agreeing to a document that limited my legal rights such as my ability to pursue claims in court and request documents and information in support of those claims. At

¹ That section provides, "The genuineness of handwriting, or the lack thereof, may be proved by a comparison made by the trier of fact with handwriting (a) which the court finds was admitted or treated as genuine by the party against whom the evidence is offered or (b) otherwise proved to be genuine to the satisfaction of the court." (Evid. Code, § 1417.)

no point during the onboarding process was I informed that I had the ability to opt out of an arbitration agreement. Had I been informed what arbitration was, I would have opted out of any such agreement.

(Rivera Decl., ¶ 7.)

Plaintiff relies on *Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394 (*Rosenthal*), which generally held that a contract is void when a party does not intend to enter the contract for lack of knowledge of what the party is signing. (See *id.* at p. 415.) But, that case does not support her position. In *Rosenthal*, the California Supreme Court determined that the allegations of two plaintiffs who stated that they spoke limited English *and that they were affirmatively misinformed about the content of the documents they were signing and reasonable reliance on same*, if determined to be true, could show they were deprived of the opportunity to learn the contents of the documents, such that they may be able to show fraud in the execution of the documents. (*Id.* at pp. 427-428.) However, as to two plaintiffs who produced evidence of limited English speaking ability but did not present evidence that representatives of the defendant sought to read the contracts to them or explain their contents orally or that they informed representatives of defendant that they could not read the contracts, the court held that the failure of those plaintiffs to take measures to learn of the contents of the documents they signed was attributable to their own negligence rather than any fault on the part of the defendants. (*Id.* at p. 431.)

“Generally, a party may not avoid enforcement of an arbitration provision because the party has limited proficiency in the English language. If a party does not speak or understand English sufficiently to comprehend a contract in English, it is incumbent upon the party to have it read or explained to him or her. [Citations.]” (*Caballero v. Premier Care Simi Valley LLC* (2021) 69 Cal.App.5th 512, 518-519 (*Caballero*).) “An exception to the general rule applies when a party was fraudulently induced to sign the contract. [Citations.]” (*Id.* at p. 519.) However, this exception is inapplicable in this case because Plaintiff does not argue that Defendants affirmatively prevented her from learning about the arbitration agreements terms. She contends she was not presented with the agreement at all. (See *id.* [exception inapplicable

because plaintiff did not contend that defendant “defrauded him or prevented him from learning the contract’s terms. He simply states that, to the best of his recollection, he was not presented with an Arbitration Agreement in Spanish or an Arbitration Agreement in English that was explained to him.”].)

Here, Plaintiff does not indicate that she took any steps to determine the contents of the arbitration agreement. Additionally, as Defendants contend, the arbitration agreement itself, which the court has found was signed by Plaintiff, contains a Spanish language “warning” indicating that it involves the employees’ rights, that it is the employee’s responsibility to read and understand it, and that the employee may seek assistance from advisers outside the company. Had she read the agreement, this would have provided with some amount of notice regarding the need to understand the agreement. Further, Plaintiff contends that during onboarding, which is when Defendants contend the arbitration agreement was signed, Plaintiff declares that she was provided with a Spanish interpreter, who orally explained the content of the documents. (Rivera Decl., ¶¶ 4-5.) She does not indicate that the Spanish interpreter misled her as to the content of the agreement as in *Rosenthal*. Although she states that she was not provided with the documents explained to her by the interpreter, she does not contend that she asked for them.

That said, Plaintiff also declares that she was never informed during the onboarding process that she was signing an arbitration agreement. (Rivera Decl., ¶ 7.) Because the company was aware that Plaintiff required an interpreter, it follows that she would need the content of the English language arbitration agreement explained. Defendants have not countered this evidence with evidence that the English language arbitration agreement was explained to Plaintiff in Spanish. However, in light of the above-cited authorities, the court finds that this issue goes to potential unconscionability rather than the existence of a contract. (See, e.g., *Caballero, supra*, 69 Cal.App.5th at p. 519 [plaintiff assented to the agreement by signing the arbitration agreement and there was no evidence he asked for a Spanish version of the agreement or assistance in understanding the English version]; *Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 85 (*Carmona*) [finding “a high degree of procedural unconscionability” where one of the clauses of the agreement was presented to

the plaintiffs in English when other portions of the agreement were translated into their native Spanish]; *Penilla v. Westmont Corp.* (2016) 3 Cal.App.5th 205, 209 [“We conclude the arbitration provision was procedurally unconscionable, as it [inter alia] was neither provided in a Spanish-language copy nor explained to respondents who did not understand written English.”].)

ii. Unconscionability

Plaintiff also contends that, even if an arbitration agreement between the parties, it is unconscionable. “A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party. [Citation.]” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125 (*OTO*).)

Unconscionability has both procedural and substantive elements. (*Armendariz v. Foundation Health Psychare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*); *Jones v. Wells Fargo Bank* (2003) 112 Cal.App.4th 1527, 1539 (*Jones*).) Both must appear for a court to invalidate a contract or one of its individual terms, (*Armendariz, supra*, 24 Cal.4th at p. 114; *Mercurio v. Superior Court* (2002) 96 Cal.App.4th 167, 174), but they need not be present in the same degree: “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa” (*Armendariz, supra*, 24 Cal.4th at p. 114.)

1. Procedural Unconscionability

Procedural unconscionability focuses on the elements of oppression and surprise. (*Armendariz, supra*, 24 Cal.4th at p. 114.) “Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice,” while “[s]urprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party in a superior bargaining position.” (*Davis v. TWC Dealer Group, Inc.* (2019) 41 Cal.App.5th 662, 671 (*Davis*), internal citation and quotation marks omitted.) “Circumstances showing oppression include (1) the amount of time an employee is given to consider a contract; (2) the pressure exerted on him to sign it; (3) its length and complexity; (4)

his education and experience; and (5) whether he had legal assistance. [Citation.]” (*Nunez v. Cycad Management LLC* (2022) 77 Cal.App.5th 276, 284.)

The court considers whether the agreement is one of adhesion. (*Armendariz, supra*, 24 Cal.4th at p. 115 [“in the case of preemployment arbitration contracts, the economic pressure exerted by employers on all but the most sought-after employees may be particularly acute, for the arbitration agreement stands between the employee and necessary employment, and few employees are in a position to refuse a job because of an arbitration requirement”].)

An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power on a take-it-or-leave-it basis. [Citations.] Arbitration contracts imposed as a condition of employment are typically adhesive [citations], and the agreement here is no exception. The pertinent question, then, is whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required. [Citations.] Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form. [Citations.]

(*OTO, supra*, 8 Cal.5th at p. 126, internal quotation marks omitted.)

Here, the arbitration agreement is a preprinted form, which was part of Plaintiff’s new hire paperwork. Defendants correctly point out that it contains an opt out clause in paragraph 8 of the agreement, which would generally support a finding that the contract was not one of adhesion. However, in this instance, Plaintiff has declared that she was at the time of the signing and still is incapable of reading the arbitration agreement, the substantive provisions of which are entirely in English. (Rivera Decl., ¶ 6.) Plaintiff further declares that no one explained the arbitration agreement to her despite the fact that a Spanish interpreter was present to assist her. (*Id.*, ¶ 7.) Defendants present no evidence that the opt out clause was provided to Plaintiff in a form she could understand. Plaintiff also declares that the interpreter informed her that she needed to sign tax documents, which the interpreter explained to her, when she was presented with the rest of her new hire paperwork. (*Id.*, ¶ 4.) While there is no evidence that Plaintiff was told she had to sign the arbitration agreement itself as a condition of

employment, there is similarly no evidence that she was informed of the opt out provision. Given that Plaintiff has provided uncontradicted evidence that she was not informed of the content of the agreement and that she could not read it, the presence of the opt out clause is entitled to less weight than it normally would be. Further, the court notes that Plaintiff declares that she did not receive a copy of the agreement, such that she could have had someone translate the agreement and inform her of the opt out provision. (Rivera Decl., ¶¶ 4, 7.)

A contract of adhesion in the employment context adds a modest amount of procedural unconscionability and, the amount of procedurally unconscionability is increased when the fact of an adhesion contract is combined with other issues. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) Here, the court finds that the facts that Plaintiff was not informed of the opt out clause and could not read it and that she was presented with the agreement along with other new hire paperwork that she “needed” to sign. The court finds that a modest amount of procedural unconscionability is present on these facts.

As discussed above, Plaintiff also contends that the arbitration agreement is procedurally unconscionable because it was presented to her in English but she is only fluent in Spanish. As in *Subcontracting Concepts (CT), LLC v. De Melo* (2019) 34 Cal.App.5th 201, 211 (*De Melo*), Plaintiff states that she is only fully fluent in Spanish, that no one explained the agreement to her, and that she did not understand the meaning of the word “arbitration.” In *De Melo*, the Court of Appeal held that “at least” a moderate amount of procedural unconscionability was present where the contract was one of adhesion, the plaintiff did not fully understand the legal documents written in English, and “the arbitration clause referred to the American Arbitration Association, but did not clearly state what rules would govern arbitration, nor was respondent provided with a copy of the governing rules.” (*Id.* at p. 212.)

Additionally, in *Carmona*, the Court of Appeal explained that “[w]hat elevate[d] [that] case to a high degree of procedural unconscionability ... [wa]s the element of surprise regarding a key clause—the enforceability clause. ... The car wash companies hid the enforceability clause and the entire confidentiality subagreement by failing to translate that portion of the agreement into Spanish. [The plaintiffs] could not read English, and yet the car wash companies provided the enforceability clause in English only. The [defendant] car wash

companies evidently knew plaintiffs required Spanish translations because they provided some translation. The record does not reveal why the car wash companies did not translate the entirety of the employment agreement. In sum, with both oppression and surprise present, there is no question the arbitration agreement was procedurally unconscionable.” (*Carmona, supra*, 226 Cal.App.4th at p. 85, fn. omitted.) Here, similarly, Plaintiff declares that a Spanish translator was present at the time of her onboarding but that no one explained the arbitration agreement to her or provided her with a copy of it. While, there is no evidence she was prevented from taking time to review the document, requesting a copy, or consulting with others before signing, there is similarly no evidence that she was provided these opportunities.² Defendants were aware that Plaintiff spoke Spanish, as evidenced by the presence of the interpreter at onboarding, but Plaintiff’s uncontradicted evidence is that the interpreter did not explain the content of the arbitration agreement.

Faced with this evidence, in reply, Defendants contend that the fact that the employee was unable to read or understand the contract is not a bar to enforcement of the agreement and that it was Plaintiff’s responsibility to ensure she understood the agreement before signing. They rely on authorities such as *Caballero, supra*, 69 Cal.App.5th at p. 518-519 that indicate that “[g]enerally, a party may not avoid enforcement of an arbitration provision because the party has limited proficiency in the English language. If a party does not speak or understand English sufficiently to comprehend a contract in English, it is incumbent upon the party to have it read or explained to him or her.” But, this ignores Plaintiff’s evidence that some of the new hire paper work was translated while the arbitration agreement was not. Thus, the content of the arbitration agreement was essentially hidden from Plaintiff. “Surprise occurs when [an]

² The court notes that the Terrones Declaration provides that new hires are given as much time as they need to review the arbitration agreement and ask any questions they may have. (Terrones Decl., ¶ 8.) But, this general statement is insufficient to show that *Plaintiff herself* was given this time. To the extent Defendants seek to proffer this evidence to show that Plaintiff was given this opportunity, the court agrees with Plaintiff that Terrones has not provided sufficient facts from which the court could conclude that he has personal knowledge of the actual circumstances of Plaintiff’s onboarding. Additionally, Plaintiff has provided uncontradicted evidence that she was not told she was signing an arbitration agreement. (Rivera Decl., ¶ 9.)

allegedly unconscionable provision is hidden. [Citation.]” (*Carmona, supra*, 226 Cal.App.4th at p. 84.) Here, the entirety of the agreement was hidden from Plaintiff.

Further, Plaintiff contends that, “The agreement is printed in single-spaced 10.5 point sans serif font, is over 2,300 words in length, contains lengthy complex sentences, and makes numerous statutory references and use of legal jargon. [] In sum, the agreement is entirely incomprehensible to a layperson.” (Opposition at p. 10, Ins. 21-24.) The court agrees that the agreement, which contains numerous references to various laws, would be difficult to decipher by a layperson. This adds an additional amount of procedural unconscionability. (See *OTO, supra*, 8 Cal.5th at p. 128 [The facts also support the trial court’s finding of surprise. The agreement is a paragon of prolixity, only slightly more than a page long but written in an extremely small font. The single dense paragraph covering arbitration requires 51 lines. . . The sentences are complex, filled with statutory references and legal jargon. The second sentence alone is 12 lines long. . . A layperson trying to navigate this block text, printed in tiny font, would not have an easy journey.”].)

The court finds that a high degree of procedural unconscionability is present. However, the court recognizes that the agreement is not unconscionable unless substantive unconscionability is also present.

2. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create “overly harsh” or “one-sided results”, (*Armendariz, supra*, 24 Cal.4th at p. 114, internal citation and quotations omitted), that is, whether they reallocate risks in an objectively unreasonable or unexpected manner, (*Jones, supra*, 112 Cal.App.4th at p. 1539). “In assessing substantive unconscionability, the paramount consideration is mutuality.” (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 241, internal citation and quotation marks omitted.) Arbitration agreements are substantively unconscionable where they lack a “modicum of bilaterality,” “without at least some reasonable justification for such one-sidedness based on ‘business realities.’ ” (*Armendariz, supra*, 24 Cal.4th at p. 117.)

“Substantive unconscionability examines the fairness of a contract’s terms. This analysis ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as overly harsh, unduly oppressive, so one-sided as to shock the conscience, or unfairly one-sided. All of these formulations point to the central idea that the unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party.” (*OTO, supra*, 8 Cal.5th at pp. 129-130, internal citation and quotations omitted.)

With respect to substantive unconscionability, Plaintiff argues that the agreement was not signed by Defendants, indicating a lack of mutuality. She relies on *Najarro v. Superior Court* (2021) 70 Cal.App.5th 871, 883 [in which the court found substantive unconscionability where “there is a lack of mutuality given that none of the Version One agreements were signed by any of the real parties in interest”]; see also *Carmona, supra*, 226 Cal.App.4th at p. 86 [finding substantive unconscionability where “only the employees initialed next to the clause, and only they signed the agreement. Nowhere do the car wash companies indicate they were bound by the clause. The only party clearly agreeing to the clause was the employee.”].) Defendants counter that it is not necessary for both parties to sign. They point to *Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 165, 176, in which the court explained that “the writing memorializing an arbitration agreement need not be signed by both parties in order to be upheld as a binding arbitration agreement.” The court reasoned

In *Banner Entertainment, Inc. v. Superior Court* (1998) 62 Cal.App.4th 348, the court explained, ‘it is not the presence or absence of a signature [on an agreement] which is dispositive; it is the presence or absence of evidence of an agreement to arbitrate which matters.’ (*Id.* at p. 361, original italics.) Evidence confirming the existence of an *agreement* to arbitrate, despite an unsigned agreement, can be based, for example, on “conduct from which one could imply either ratification or implied acceptance of such a provision.” (*Ibid.*; see *Craig v. Brown & Root, Inc.* (2000) 84 Cal.App.4th 416, 420-423 [despite absence of a signed writing acknowledging receipt of the memorandum and brochure containing the arbitration provision, the employee’s continued employment constituted implied acceptance of the agreement].)

(*Serafin, supra*, 235 Cal.App.4th at p. 176.) The court also explained, “In this case, not only was the agreement authored by Balco, and printed on Bay Alarm’s letterhead, but Balco’s later conduct evinces an intent to be bound by the arbitration agreement when it invoked the arbitration process . . . and when it filed the motion to stay Serafin’s employment litigation and to compel arbitration.” (*Id.* at pp. 176-177, fn. omitted; see also *Davis v. Kozak* (2020) 53 Cal.App.5th 897, 915 [absence of signature line for company did not show arbitration agreement lacked mutuality; agreement’s presentation on company letterhead and language indicating both parties would be bound showed that “[a]s a whole, the agreement is [] reasonably construed as both parties consenting to arbitration of any disputes either party brings involving or relating to [the employee’s employment].”])

Here, Defendants correctly point out that the agreement is printed on letterhead bearing the name Flagship. Also, Defendants’ conduct in seeking to compel arbitration suggests it also accepted to be bound by the agreement. However, the California Supreme Court recently reaffirmed that “an unconscionability assessment focuses on circumstances known at the time the agreement was made.” (*Ramirez v. Charter Communications, Inc.* (July 15, 2024, No. S273802) ___Cal.5th___ [2024 Cal. LEXIS 3696, at *32].) Thus, Defendants’ conduct after the agreement is signed is entitled to little weight, if any. Nonetheless, because the agreement is printed on Defendants’ letterhead and the agreement contains provisions binding both Defendants and Plaintiff, the court does not find that Defendants’ failure to sign the agreement renders it substantively unconscionable.

Plaintiff confusingly appears to argue that Defendants falsely contend that the agreement contains a provision waiving her rights under the Private Attorney General Act (“PAGA”) but that, *if* the agreement contained one, that would render the agreement unconscionable. The court understands Defendants’ argument to be that Plaintiff waived her right to pursue PAGA representative claims pursuant to a collective bargaining agreement, an agreement separate from the arbitration agreement.³ In fact, the arbitration agreement expressly provides that “Private attorney general representative actions are not arbitrable, not within the

³ The court acknowledges that Defendants do argue that Plaintiff has agreed to arbitration her *individual* PAGA claims pursuant to the arbitration agreement.

scope of this Agreement and may be maintained in a court of law.” Accordingly, the fact that the collective bargaining agreement may contain a PAGA waiver would not render the arbitration agreement unconscionable.⁴

Plaintiff also argues that the class action waiver renders the agreement substantively unconscionable because it is unfairly one-sided. She cites to *Navas v. Fresh Venture Foods, LLC* (2022) 85 Cal. App. 5th 626, 636 (*Navas*), in which the Court of Appeal stated, “But [class actions] are the type of claims that only employees bring against employers.

[A]greements that primarily require arbitration of the type of claims only employees bring against employers are substantively unconscionable as being ‘one-sided and harsh.’ ”

Defendants contend that *Navas* only involved a PAGA waiver and not a class action waiver but that is incorrect. (See *Navas, supra*, 85 Cal.App.5th at p. 636 [“The agreement also provides, ‘There will be no right or authority under this Agreement for any dispute to be brought, heard, or arbitrated as a class or collective action.’ ”].) While the *Navas* court devoted the vast bulk of the decision to PAGA waivers, it did state, as Plaintiff contends that the provision of the agreement quoted above was one of the one-sided provisions in the agreement. Similarly, *Hasty v. American Automobile Assn. etc.* (2023) 98 Cal.App.5th 1041, 1062 (*Hasty*), which Plaintiff relies on and which Defendants also contend only involved a PAGA waiver stated, “the arbitration agreement is further one-sided because it requires the parties to bring their claims ‘in an individual capacity,’ not ‘in a private attorney general capacity,’ and prohibits *class*, representative, or private attorney general proceedings. *These requirements* can fairly be read to limit only the employee’s rights.” (Italics added.)

The court notes that class action waivers are not categorically substantively unconscionable. (See *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 364, 366 (*Iskanian*) [rule in *Gentry v. Superior Court* (2007) 42 Cal.4th 443 (*Gentry*) “whereby a class waiver would be invalid if it meant a de facto waiver of rights and if the arbitration agreement failed to provide suitable alternative means for vindicating employee rights” preempted by FAA], overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.____, 2022 U.S. LEXIS 2940; *Evenskaas v. California Transit, Inc.*

⁴ The court will discuss the collective bargaining agreement below.

(2022) 81 Cal.App.5th 285, 298 [*Gentry* rule preempted by FAA].) Citing *Epic Systems Corp. v. Lewis* (2018) 138 S. Ct 1612, 1632, Defendants contend that class action waivers are enforceable. However, as the *Navas* and *Hasty* courts held, class action waivers are one-sided in that they only apply to the employee. The court finds the class action waiver is substantively unconscionable.

Plaintiff also contends that the “provisional remedies” provision of the arbitration agreement allowing either party to pursue injunctive relief in court is unfairly one-sided because an employer is more likely to seek injunctive relief. Defendants correctly assert that the authority on which Plaintiff relies, *Carlson v. Home Team Pest Defense, Inc.* (2015) 239 Cal.App.4th 619, 634-635, involved a provision that actually applied only to the employer. (*Ibid.*) Further, the court notes that the provisional remedies provision is limited in that requests for injunctive relief may be brought “only upon the ground that the award to which that party may be entitled may be rendered ineffectual without such provisional relief.” Thus, the language in the agreement tracks the language of Code of Civil Procedure section 1281.8, subdivision (b). (See *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1247 [finding provisional relief clause was not unconscionable where “the provisional relief clause does no more than recite the procedural protections already secured by section 1281.8(b), which expressly permits parties to an arbitration to seek preliminary injunctive relief during the pendency of the arbitration” and holding that even though employers are more likely to seek injunctive relief, the parties are already entitled to the protections of section 1281.8, subdivision (b)].) Accordingly, the court does not find that the provisional remedies clause is unconscionable.

Plaintiff next argues that the confidentiality provision of the agreement is unconscionably one-sided. Plaintiff relies on *Ramos v. Superior Court* (2018) 28 Cal.App.5th 1042 (*Ramos*), in which the Court of Appeal held unconscionable an arbitration agreement clause stating, “ ‘Except to the extent necessary to enter judgment on any arbitral award, all aspects of the arbitration shall be maintained by the parties and the arbitrators in strict confidence.’ ” (*Id.* at p. 1065.) The court reasoned that strict confidentiality regarding the

arbitration proceedings could inhibit discovery by preventing the plaintiff from discussing the arbitration with potential witnesses. (*Ibid.*)

The confidentiality clause in this case states, “Except as may be permitted or required by law as determined by the Arbitrator, neither a party nor an Arbitrator may disclose the existence, content, or results of any arbitration hereunder without the prior written consent of all parties.” Defendants assert that this provision is much less broad than the one in *Ramos* and that it would not inhibit discovery in the same way.

“[A] confidentiality provision in an arbitration agreement is not per se unconscionable when it is based on a legitimate commercial need (such as to protect trade secrets or proprietary information). [Citation.]” (*Murrey v. Superior Court* (2023) 87 Cal.App.5th 1223, 1254 (*Murrey*)). In *Murrey*, the Court of Appeal considered a confidentiality clause in an arbitration agreement signed by an employee indicating that “she would not ‘publish or disseminate’ the arbitration award. (*Id.* at pp. 1253-1254.) The Court of Appeal held the provision unconscionable stating,

GE’s confidentiality provision serves no purpose other than to benefit GE. Future employees cannot take advantage of findings in past arbitrations or prove a pattern of discrimination and/or retaliation. Solutions expressly provides an arbitrator cannot include in the award any requirement that GE change or revise its policies, procedures, rules and/or practices. In addition, ‘keeping past findings secret undermines an employee’s confidence in the fairness and honesty of the arbitration process and thus potentially discourages that employee from pursuing a valid discrimination claim.’ [Citation.] Therefore, we hold that this confidentiality provision added to this agreement’s substantively unconscionability.

(*Murrey, supra*, 87 Cal.App.5th at p. 1255.)

The *Murrey* court reasoned,

The notion that courts should condone requirements keeping the outcome of forced arbitration proceedings confidential is out of step with federal and sister state case

authority. The Ninth Circuit recognized that although confidentiality provisions are facially neutral, they usually favor companies over individuals. (See *Ting v. AT&T* (9th Cir. 2003) 319 F.3d 1126, 1151-1152 [discussing “‘repeat player’ effect” putting companies in a superior legal posture for future arbitration proceedings].)

(*Murrey, supra*, 87 Cal.App.5th at p. 1254.)

The court finds *Ramos* and *Murrey* persuasive and finds the confidentiality provision substantively unconscionable.

Plaintiff further maintains that the discovery provisions in the agreement favor Defendants. The arbitration agreement’s discovery clause provides,

In arbitration, the parties will have the right to conduct adequate civil discovery, bring dispositive motions, and present witnesses and evidence as needed to present their cases and defenses, and any disputes in this regard shall be resolved by the Arbitrator. At a party’s request or on the Arbitrator’s own initiative, the Arbitrator may subpoena witnesses or documents for discovery purposes or for the arbitration hearing.

Plaintiff contends that the agreement fails to provide for a “default amount” of discovery. Thus, she asserts that the agreement does give the arbitrator the sole discretion to determine what constitutes an “adequate” amount of discovery. Citing *Sanchez v. Western Pizza Enterprises, Inc.* (2009) 172 Cal.App.4th 154, 177, Defendants counter that any missing terms as to discovery are implied by law. The court finds Plaintiff’s argument unpersuasive. In *Ramirez v. Charter Communications, Inc., supra*, [2024 Cal. LEXIS 3696, at *33], the California Supreme Court explained that giving the arbitrator authority to determine the scope of discovery “ensures that neither party will be unfairly hampered in pursuing a statutory claim based on circumstances that arise post-formation” and allows the arbitrator to “expand

discovery based on *Armendariz*'s requirement" that employees be allowed sufficient discovery to adequately arbitrate any statutory claims.

Plaintiff also contends that the discovery provision authorizes the arbitrator to issue third party subpoenas but that the FAA prohibits this and, therefore, the subpoena power would be unavailable because the agreement does not incorporate Code of Civil Procedure section 1281.05. Defendants do not respond to this argument, thereby impliedly conceding it is meritorious. (See *DuPont Merck Pharmaceutical Co. v. Superior Court* (2000) 78 Cal.App.4th 562, 566 ["By failing to argue the contrary, plaintiffs concede this issue."].) Accordingly, the court finds the discovery provision substantively unconscionable.

Finally, Plaintiff asserts that the "free peek" provision, requiring informal resolution of any claims prior to arbitration, is unconscionable. That provision states, "Nothing contained in this Agreement shall be construed to prevent or excuse you (individually or in concert with others) or the Company from utilizing the Company's existing internal procedures for resolution of complaints, and this Agreement is not intended to be a substitute for the utilization of such procedures." While the court recognizes Defendants' argument that the provision binds both parties, it binds both parties to an informal resolution procedure that is not described in the agreement and that Defendants control. (See *Navas, supra*, 85 Cal.App.5th at p. 636 ["The agreement also provides that it shall not 'excuse [the employee] from utilizing the internal complaint procedures of [FVF].' But because those procedures are not described, employees do not know what they are agreeing to. [Citation.] The agreement thus funnels employee claims into both arbitration and FVF's own complaint system without requiring FVF to follow any defined procedure to limit its discretion. It creates a 'one-sided' shield exclusively for FVF's benefit. [Citation.]".]) The court finds the informal resolution provision to be unconscionable.

iii. Severability

Having found portions of the arbitration agreement substantively unconscionable, the court will turn to whether those provisions may be severed. The agreement provides, "The Class Action Waiver shall be severable from this Agreement in any case in which (1) the

dispute is filed as a class action and (2) there is a final judicial determination that the Class Action Waiver is invalid, unenforceable, unconscionable, void or voidable. In such instances, the class action must be litigated in a civil court of competent jurisdiction.”

“[W]hether to sever is within the trial court’s discretion.” (*Navas, supra*, 85 Cal.App.5th at pp. 636-637.)

“ ‘In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever unless the agreement is “permeated” by unconscionability.’ [Citation.] [¶] An agreement to arbitrate is considered ‘permeated’ by unconscionability where it contains more than one unconscionable provision. [Citation.] ‘Such multiple defects indicate a systematic effort to impose arbitration on [the nondrafting party] not simply as an alternative to litigation, but as an inferior forum that works to the [drafting party’s] advantage.’ [Citation.] An arbitration agreement is also deemed ‘permeated’ by unconscionability if ‘there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement.’ [Citation.] If ‘the court would have to, in effect, reform the contract, not through severance or restriction, but by augmenting it with additional terms,’ the court must void the entire agreement.” (*Magno v. The College Network, Inc.* (2016) 1 Cal.App.5th 277, 292.)

(*De Leon v. Pinnacle Property Management Services, LLC* (2021) 72 Cal.App.5th 476, 492-493, disapproved on another ground in *Ramirez v. Charter Communications, Inc., supra*, [2024 Cal. LEXIS 3696, at *32]; see also *Armendariz, supra*, 24 Cal.4th at p. 124 [presence of more than one unconscionable provision weighs against severance].)

The Court declines to sever the provisions it has found unconscionable from the agreement in light of the high degree of procedural unconscionability it has found.

iv. Conclusion re Arbitration

The motion is DENIED to the extent it seeks to compel Plaintiff’s claims to arbitration.

v. Dismissal of the Class Claims

Defendants also seek dismissal of Plaintiff’s class claims pursuant to the arbitration agreement. The court has found the arbitration agreement unenforceable. Accordingly, the court DENIES the request to dismiss the class claims.

C. Dismissal of the PAGA Claims

Defendants contend that the PAGA claim must be dismissed under Labor Code section 2699.8 because it is subject to a PAGA waiver contained in a collective bargaining agreement (“CBA”) separate from the arbitration agreement discussed above.

With respect to PAGA waivers, the United States Supreme Court recently partially overruled *Iskanian* in *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. ____ [213 L. Ed. 2d 179, 142 S.Ct. 1906] (*Viking River*). As explained in *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, 1117 (*Adolph*), “In *Iskanian*, we held that a predispute categorical waiver of the right to bring a PAGA action is unenforceable (*Iskanian*, *supra*, 59 Cal.4th at pp. 382-383) — a rule that *Viking River* left undisturbed (see *Viking River*, *supra*, 596 U.S. at p. ____ [142 S.Ct. at pp. 1922–1923, 1924–1925] [the FAA does not preempt this rule]).” Thus, the prohibition against categorical predispute PAGA waivers remains good law.

The representative portion of the PAGA claim (representative in the sense of addressing violations suffered by other employees) may not be waived under *Iskanian* as left intact by *Viking River*. (See *Adolph*, *supra*, 14 Cal.5th at p. 1118; see also *Hasty v. American Automobile Assn. etc.* (2023) 98 Cal.App.5th 1041, 1063 [“The ban on all representative [PAGA] actions thus remains unconscionable because it requires an employee to waive a right that is not waivable.”].) Thus, the agreement, which prevents either party from asserting “representative action claims against the other in arbitration or otherwise” is substantively unconscionable to the extent it would prevent Plaintiff from bringing a PAGA representative action.

Nonetheless, Defendants maintain that *Viking River* allows for the Labor Code section 2699.8’s exemption of janitorial workers from pursuing representative PAGA claims. That section provides

This part shall not apply to a janitorial employee represented by a labor organization that has represented janitors before January 1, 2021, and employed by a janitorial contractor who registered as a property service employer pursuant to Section 1423 in calendar year 2020, with respect to work performed under a valid collective bargaining agreement in effect any time before July 1, 2028, that expressly provides for the wages, hours of work, and working conditions of employees, provides premium wage rates for all overtime hours worked, and does all of the following:

(1) Requires the employer to pay all nonprobationary workers working in certain worksites, defined in an applicable collective bargaining agreement, total hourly compensation, inclusive of wages, health insurance, pension, training, vacation, holiday, and fringe benefit funds, amounting to not less than 30 percent more than the state minimum wage rate.

(2) Prohibits all of the violations of this code that would be redressable pursuant to this part, provides for a grievance and binding arbitration procedure to redress those violations, and allows the labor organization to pursue a grievance on behalf of all affected employees.

(3) Expressly waives the requirements of this part in clear and unambiguous terms.

(4) Authorizes the arbitrator to award any and all remedies otherwise available under this code, provided that nothing in this section authorizes the award of penalties under this part that would be payable to the Labor and Workforce Development Agency.

(Lab. Code, § 2699.8, subd. (a).)

Defendants contend that the CBA attached to the Terrones Declaration as exhibit B meets these requirements. The CBA expressly provides for a PAGA waiver beginning at page 135. Plaintiff does not argue that the requirements of subdivision (a) of Labor Code section 2699.8 have not been met. Instead, she contends that the Terrones Declaration is inadmissible, an argument the court has already rejected. She also argues that Defendants has not provided any evidence that they are a “property service employer pursuant to Section 1423”, as required by subdivision (a) of Labor Code section 2699.8. On this point, the court must agree. Although Defendants reply to Plaintiff’s opposition asserting that “Flagship Facility Services, Inc. was registered as a property service provider”, (see Reply, p.

10, ln. 23), they have not provided any evidence on this point. Accordingly, the request to dismiss Plaintiff's representative PAGA claim is DENIED.

D. Requests for Sanctions

Both parties request sanctions under Code of Civil Procedure sections 128.5 and 128.7 within their motion and opposition papers. But, these requests must be made separately from other motions. (See Code Civ. Proc., §§ 128.7, subd. (c)(1) ["A motion for sanctions under this section shall be made separately from other motions or requests and shall describe the specific conduct alleged to violate subdivision (b)."]; 128.5, subd. (f)(1)(a) ["A motion for sanctions under this section shall be made separately from other motions or requests and shall describe the specific alleged action or tactic, made in bad faith, that is frivolous or solely intended to cause unnecessary delay."].) Further, the court finds that neither party's position was frivolous or unreasonable. Accordingly, both parties' requests for sanctions are DENIED.

IV. CONCLUSION

The motion to compel arbitration is DENIED. The requests to dismiss Plaintiff's class claims and representative PAGA claim are DENIED. Both parties' requests for sanctions are DENIED.

Plaintiff as the substantially prevailing party, shall prepare the order.

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Calendar Line 2

Case Name: Vargas Rivera v. Flagship Facility Services, Inc., et al. (Class Action)
Case No.: 23CV421827

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